

# From the Editor

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## Foundations of Project Management Research: Stakeholders and Agile

On 12 October, Mika Helinius, head of the Research Program at Aalto University, Helsinki, Finland, posted the following on LinkedIn: “Europeans must be grateful for this 28-year-old Austrian man—legal student and entrepreneur. He is doing alone more than all policymakers in Brussels to bring digital (SOFTWARE) services and the foremost data of citizens back to the people of Europe.” His post was commenting on the decision of the European court in the case *Schrems v. Facebook*, which declared an agreement on transferring the information of European citizens to U.S. organizations as not valid, because the assumption that the United States may be considered as a “safe haven” was not examined sufficiently as a valid assumption.

I do not share the enthusiasm of Mika Helinius, but his exemplary post documents that the policy of European institutions to take stakeholder concerns much more seriously today than a few years ago is very much applauded. This is also true in the case of the ENRON scandal, the FIFA scandal, and the Volkswagen scandal, in which strong U.S. institutions took care of stakeholder rights. When powerful institutions control and sanction violations of norms more, then consequently individuals and organizations will comply more strongly with such norms. Strong institutions protect stakeholder rights and not only do they strengthen corporate governance, they also strengthen project, program, and project portfolio governance.

In our survey on “*Future Trends in Project Management in 2025*,” academic researchers and experienced project practitioners expect a stronger consideration of governance principles, including transparency, accountability, responsibility, and fairness. (For the trend study, see Gemünden & Schoper, 2014; Schoper, Gemünden & Nguyen, 2015. For the governance principles, see Aras & Crowther, 2010; Müller, 2016; Sankaran & Biesenthal, 2016; von Werder, 2011.) Such ethical principles not only apply to project management roles such as project managers, program managers, project portfolio managers, and project management office managers, they also apply to all types of managers, owners, and citizens, specifically when they function in project management

roles, as supervising or resource-granting line managers, sponsors, customers, suppliers, politicians, regulators, reviewers, investigative journalists, and project opponents. Institutions that enforce governance principles will be strengthened, and cultural values will change along with professional roles.

This **December/January issue** of *Project Management Journal*<sup>®</sup> is dedicated to the theme of **stakeholder management** in the realm of projects. This special issue on stakeholder management is edited by **Pernille Eskerod**, **Martina Huemann**, and **Grant Savage**, whose article describes the content and contribution of the articles in this special issue; their article also documents how stakeholder thinking entered the realm of project management. Initially, stakeholder management was a concept derived from the resource-dependence view of firms and emphasized investors and market and development partners as important stakeholders, followed by the view extended toward a variety of other stakeholders that offer critical resources. The concept then also addressed the *risks* that organizations and individuals have at stake. Today the concept also embraces *ethical issues* as a core concern of stakeholder management. Thus, the meaning of stakeholder management has changed from the management of stakeholders in the interest of a specific group of stakeholders, in particular shareholders, to the management for a multitude of stakeholders that might have conflicting interests. This implies that the project manager is not only responsible for the interests of an organization that employs him or her as an organizational member or has contracted his or her services as a client, but is also responsible for the concerns of *other* stakeholders that are not paying him or her. This view is very familiar to us, for example, as in the case of a doctor who is employed by a hospital, in other words, his or primary concern should be his or her patients. This is not the typical role expectation of a project manager or a project sponsor; however, the times are changing and we expect more change in the future. I want to emphasize that role expectations are changing with regard to not only project managers, but also project sponsors, project portfolio managers, and other professional roles. Stakeholder management will stay an ongoing central issue of project management, and there are many interesting research questions in this area.

I want to emphasize another important topic in this issue: our call for the new special issue, “*Exploring the*

### ***Role of Agile Approaches for the Management of Projects.***

**Thomas Lechler, Fred Niederman, and Yvan Petit** are the editors of this special issue.

The *Agile Manifesto* was authored by practitioners who defined, out of their own experiences, four values and twelve principles to improve software development processes (Fowler & Highsmith, 2001). Many practitioners and scholars have come to believe that applying agile rules to software development processes has provided higher levels of productivity and improved efficiency than traditional approaches in at least some cases. This special issue seeks to explore a variety of new research questions that arise from the increasing diffusion of agile practices. The authors of the call describe them in more detail.

The *Agile Manifesto* comprises the following four values:

1. Individuals and interactions *over* processes and tools
2. Working software *over* comprehensive documentation
3. Customer collaboration *over* contract negotiation
4. Responding to change *over* following a plan

What does the term “over” mean in these four statements? It is clear that they provide relevant statements about which of the pair-wise polar elements should be of higher priority. It is also evident that the term on the left-hand side is expected to have a greater influence on the success of a developed software than the term on the right-hand side. The statements do not imply, however, that the terms on the left-hand side do *not* have a positive influence on the development of software development projects. Rather, the statements provide room for some balancing of the principles on the left-hand and right-hand sides. We could even interpret statements, such as exploration and exploitation, in the ambidexterity research tradition, or effectuation and causation in the entrepreneurship research. In both research streams, the two orientations should be followed to a certain extent, and organizations capable of implementing both orientations should perform better; in other words, they should be efficient and effective at the same time.

All three streams of practices—agile approaches versus traditional approaches, exploration versus exploitation, and effectuation versus causation—can specify neither how to balance the opposing poles, nor what the right mixture of both polar approaches should be. We can only derive that a minimum amount of activity from the left-hand and right-hand terms is required. These qualitative arguments do not deliver an exact value or range of values for the desirable fraction of both kinds of polar activities. We could add to this the assumption that the impact of the two polar activities is connected in a multiplicative way, not a linear way; if so, then the mixtures of both kinds of polar activities should probably lie in a smaller range of values compared to the assumption that the impact is connected in an additive way.

These speculations may help us to structure the problem but they do not provide satisfactory answers. Returning to the agile versus traditional methodology: We often find processes and tools, comprehensive documentation, contract negotiation, and planning necessary and useful things—but how do we find the *appropriate* amounts? Should the balance between the two poles of these four polar scales *always* be the same? Should the “over” *always* apply or should it vary? How much does it vary in reality? Why does it vary? What are the theoretical explanations as to why the mixture varies? Which influence does a variation of the mixture have on defined performance measures? Can we find moderator variables that explain for which boundary conditions agile matters more than for other boundary conditions? The research on such questions is scant. Despite the fact that agile methodologies are used on a broad scale in software development projects, theoretical insights and empirical findings are lagging behind.

We also don’t know much about the negative “side effects” of agile methodologies. We may posit the following testable hypothesis: ***The more agile the underlying processes of software development projects, the more fragile their results are.*** Do we increase the speed and flexibility of our processes at the expense of the sustainability of their results? If this is true, then we could indeed assume: ***Agile, but fragile!***

The usual arguments in favor of agile approaches are: Agile means that we become quicker, more responsive, more solution oriented, more creative, and more pragmatic—the list of promises can be extended. But what about the negative side of more agile projects?

- Do agile approaches consider risks sufficiently in a proactive way, or are they only strong in responding to them quicker?
- Is more learning within projects strengthened at the expense of less learning between projects?
- Does the better integration of co-developing customers mean that we may neglect to explain the functionalities of the new software to the remaining, less active customers and to train them intensively?
- Is motivation really increasing through agile approaches because you learn what is most important to your customer quicker, or does the increased workload only lead to more short-term gains and long-term burnout if there isn’t sufficient time for regeneration between projects, particularly if opportunities for regeneration *within* projects might have decreased?

My simple answer to this question is: We need more research! I hope that more research has already been done, but it needs to be published! To address this, we are publishing this special issue, so please use this unique opportunity to send us your submissions.

I would also like to request the following regarding your publications. Look not only at software projects; consider

also hardware, social, and organizational projects. The agile theme and the flexibility theme have long traditions in different management fields from which theoretical insights can be taken. For the development of a general theory of project management, it is very important to find out what can be generalized about different application fields, what is application-field specific, and why this is the case.

Another request concerns the process views of project management. In the new product development literature, many studies and several meta-analyses have already gathered much empirical insight and theoretical knowledge about the usefulness of the four agile values. Investigations in this field have also analyzed process methodologies and boundary conditions that help to accelerate processes. These investigations have also looked at the moderators that influence the impact of acceleration on performance; in particular, they have analyzed how the influence of acceleration measures may differ between projects, aimed at incremental versus radical product innovations, and also the differing influences of more traditional rigid stage-gate approaches and more flexible overlapping process models.

In addition to the specialized articles, this issue also includes two articles on other subjects.

The **seventh article** in this issue, by **Moses T. Adoko, Thomas A. Mazzuchi, and Shahram Sarkani**, “*Developing a Cost Overrun Predictive Model for Complex Systems Development Projects*,” documents a decision support model for recognizing likely cost overruns in complex systems development projects. This decision will help project managers take measures in due time in order to better comply with their budget goals. In their quantitative study, the authors use a model with five known drivers of complex systems development costs in order to estimate cost overruns. The study identifies schedule and reliability as the key determinants of whether or not a large complex systems development project will experience cost overrun. The editor of this article is Hans Georg Gemünden.

The **eighth article**, “*Cost Overruns in Hydrocarbon Megaprojects: A Critical Review and Implications for Research*,” is by **Olugbenga Olaniran, Peter E. D. Love, David**

**Edwards, Oluwale Alfred Olatunji, and Jane Matthews**. Cost overruns are prevalent in hydrocarbon megaprojects in the oil and gas industry. A recent report indicates that 64% of ongoing megaprojects globally are facing cost overruns. This article provides a critical review of the extant literature and addresses the theories used to model the causal influence factors and their interrelationships of cost overruns in hydrocarbon megaprojects. Findings from the research indicate that the complex interactions between project characteristics, people, technology, and structure and culture contribute to cost overruns occurring. The authors suggest using chaos theory to explain how cost overruns arise in hydrocarbon megaprojects. The editor of this article is Hans Georg Gemünden.

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